

AI Exposure and Entrepreneurship*

Hugo Sant'Anna Samyam Shrestha

July 15, 2026

Abstract

This paper asks whether artificial intelligence is changing who becomes an entrepreneur. In a commuting-zone-by-sector panel of U.S. workers, a difference-in-differences design compares sectors of differing AI exposure within the same commuting zone and year: a one-standard-deviation increase in occupational exposure lowers the incorporated self-employment rate by 0.408 percentage points, 11.1 percent of its mean, while unincorporated self-employment shows no response. Because identification uses only within-commuting-zone, within-year variation across sectors, no local demand shock, agglomeration economy, or education gradient can rationalize the estimate, which survives a control for the Tax Cuts and Jobs Act's Section 199A pass-through deduction and first turns significant in 2019, not the 2018 first tax year. Exposed sectors are staffed by the managerial and professional occupations from which incorporated founders are drawn, so AI reaches would-be entrepreneurs through their own task content. We conclude that AI is attenuating the entrepreneurial diffusion channel historically associated with general-purpose technologies.

JEL Codes: J24, L26, D22, O33, R12

Keywords: artificial intelligence, entrepreneurship, self-employment, business dynamism, local labor markets

*Hugo Sant'Anna is an Assistant Professor in the Collat School of Business at the University of Alabama at Birmingham (corresponding author: hsantanna@uab.edu). Samyam Shrestha is a Ph.D. candidate in the Department of Agricultural and Applied Economics at the University of Georgia (samyam@uga.edu). We thank participants at the Collat School of Business research colloquium for helpful comments, and gratefully acknowledge financial support from the Collat School of Business at the University of Alabama at Birmingham. All errors are our own.